The “Spencer” Scalp

Why this Scalp Works

- When a stock is “In Play” it can develop a larger than normal trading range through the initial part of a trading session. There is just more participation for stocks that are In Play, and In Play stocks will tend to have larger institutions who buy the stock more methodically through the trading day. Large institutional investors will accumulate positions over the course of multiple days, but they can create specific patterns as they do so.
- One of these patterns is to initiate a passive buy program which can be observed if a stock moves towards, or even just above, an intraday area of resistance.
- These buying patterns often cycle between active and passive buying, meaning the program will cleanly move the stock higher and then pause to “rest”. Even during the rest, the passive buying remains there, holding the stock higher before the active buying pattern kicks back into gear.
  - If a stock consolidates for 20 minutes or more near the high of day, or just above the high of the trading day, Steve Spencer has observed that over time, a break higher out of this range can confirm the presence of this methodical buying program, and we can ride along with it.
- This works the exact same way, but in reverse for short trades.

Chart Timeframe:

- 1 minute bars.

The exact rules of ENTRY:

- When a stock consolidates for 20 minutes or more in the upper 1/3 of the day's trading range on sustained volume (equal size volume bars) we Enter aggressively on a break higher of the range.
  - Aggressively means buying on the offer for a long.
  - This trade should put us in the money fast, then methodically work toward our rules of exit

The exact rules of STOP placement:

- Place stop .02 below the low of the recent trading range.

The exact rules of EXIT:

- We use measured moves to guide our exits for this scalp as we expect the buying to be sustained and methodical.
- Sell ¼ of our position at a 1:1 measured move (the height of the range) and move stop to break even.
- Sell ½ our position at 2:1 measured move (2x the height of the range) and move stop to where we took first exit.
- Sell final ¼ of our position at 3:1 measured move

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Factors that Increase the odds of success:

- Trading in the direction of the bigger picture trend
  - If the market is trending higher, this can really help our trade work cleanly as there will be broad buying pressure
- Low Volume bar just prior to break followed by a significant increase in volume
  - This is an old-school trick to identify a buy program, which oftentimes can kick in following a volume collapse
    - Visible if 1 or 2 bars trade with less than 70% of the volume of the prior bar
- Tightness of consolidation (less than 20% of the days range)
  - If the range before the break is clean, it can suggest the passive cycle of the larger buy program has already started and we can look for the active portion of the buy program to begin to meet our entry rules

Factors that Decrease the odds success:

- After a REALLY big intraday move
  - If a stock very quickly moves from the low of the day to the high of the day, this can actually be a trap
- Fighting the bigger picture trend on the day
  - In a market that is down-trending, a break higher is more likely to be met with sellers who will lower the probability of our scalp making its way to our targets
- Multiple attempts to cleanly break the range during consolidation
  - If the stock has clearly attempted to break out of the range higher twice already before our entry criteria has been met, it can be less likely to follow through cleanly if the range does break higher

The ideal times of day to take the Spencer Scalp:

- Morning (9:59-10:44 ET)
- Mid-Day(10:45-1:29 ET)
- Afternoon (1:30 – 4 ET)
  - Only for a stock that has been ranging through the session

When do we avoid the Spencer Scalp entirely?

- After an extended move
  - If a stock has made 3 “legs into the consolidation,
    we avoid this scalp as the buy program is more likely to have been completed already.
    NEVER take this trade following a 3rd leg of a larger move.

TOP SETUPS for the SPENCER SCALP

- Day 2
- Break out of Range
- Trending Day
- FAILED Break Out

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